

proceeded at a rapid pace with more than 20 per cent of the existing highway length of 132,000 km being constructed in the last four years alone. The UDAAN scheme was launched in 2017 to foster regional connectivity by extending flight connectivity to Tier-3 and Tier-4 towns in the country. The infrastructure of the North-Eastern states was a special focus and there has been a significant improvement in connectivity with the building of key bridges, and the expansion of railways/highways.

2.5.1.4 Federalism

Fiscal federalism strengthened significantly when the Fourteenth Finance Commission increased the share of states in the divisible pool of central taxes from 32 per cent to 42 per cent. Although central grants to states saw compensatory cuts, the shift empowers states to manage their revenues and expenditures independently. The launch of the GST (Goods and Services Tax) in July, 2017 added a new dimension to centre-state and inter-state financial relations. The GST Council experience provides key learning for implementing cooperative federalism in several other areas such as labour and land regulation. Niti Aayog has helped institutionalise cooperative federalism by setting up teams from both the states and the central government to jointly evolve strategies for addressing development challenges. States have also been involved in a friendly competition to improve their Key Performance Indicators (KPIs).

2.5.1.5 Corporate Exits

When the Insolvency and Bankruptcy Code (IBC) was introduced in 2016, it consolidated the insolvency resolution process into a single law by repealing/amending multiple rules and processes earlier in operation. IBC set a time limit for closing of insolvency and bankruptcy cases within which assets of a defaulting borrower are auctioned to pay off the debt owed to lending institutions. Following the operationalisation of IBC since 2017, a significant number of non-performing assets have been brought under its ambit. In addition to the large sums recovered by creditors from resolution or liquidation, the introduction of a framework for exit has improved the overall business culture of the country.

2.5.1.5 Demonetisation

The government of India took a bold step to demonetise Rs. 500 and Rs. 1000 currency with effect from 8 November 2016 midnight. It was a major decision which had its impact on all sections of the society. It was aimed to reduce funds to terrorism, decrease the corruption rate, eliminate counterfeit notes, and open gates for a cashless economy. Through the demonetisation exercise, the government has been pressing hard to become a cashless economy and is encouraging more and more people to adopt the digital payments system for their transactions.

2.5.1.6 Goods and Services Tax (GST)

Implemented on July 1, 2017, the Goods and Services Tax (GST) is regarded as the biggest and substantial indirect tax reform since independence. GST has replaced a number of Central and State taxes, made India more of a national integrated market, and brought more producers into the tax net. It has subsumed all sorts of indirect taxes like Central Excise Tax, VAT/Sales Tax, Service tax,

etc. and implement one taxation system in India. The main aim of GST is to create a single, unified market which will benefit in the development of country's economy. GST taxes only the final consumer. Hence the cascading of taxes (tax-on-tax) is avoided and production costs are cut down. The system is expected to improvise tax collections and boost up India's economic development and break all tax barriers between Central and State Governments.

Aided by all these features, the Indian economy rebounded back on high growth trajectory. While rest of the world was cooling off with growth rates slowing down, the Indian economy recorded highest-ever growth rates during the period 2014-19, clocking an average of about 7.5 per cent per annum. It is widely-accepted that India cannot meaningfully regain its economic momentum unless corporate investments are brought on track. The sort of demand stimulus that the government has preferred despite supply constraints will only add to inflationary pressures. Public investment cannot play a major role in the recovery unless there is a significant shift of public spending away from subsidies and towards asset creation. A private investment revival is thus the magic key. Unwinding the current policy tangle is key to reviving animal spirits.

2.5.2 The Challenges That Remain

GDP growth in India has followed an inverted U-shaped curve, accelerating from a low of 5.5 per cent in 2012-13 to a peak of 8.2 per cent in 2016-17 and then decelerated to 6.8 per cent in 2018-19. The GDP growth decline is due to rise in real interest rates, enforcement of tighter norms on Bank NPAs and implementation of the Indian Bankruptcy Code, decline in GFCF and other factors. Despite the promising growth trajectory that Indian economy has been experiencing and is believed to experience, there remain several challenges that need to be addressed to ensure welfare and development along with the sustained growth. These include:

2.5.2.1 Non-farm Employment Opportunities

Over the years, the rural non-farm sector has been gaining importance in providing gainful employment and additional income opportunities to the growing rural workforce. Yet the country is still struggling to move rural workers away from agriculture. More than 70 per cent of the rural poor are dependent on agriculture either as cultivators or as agriculture labour. Besides, livestock rearing is again a key livelihood of the poor. Thus, it becomes imperative to make rural non-farm activities lucrative enough to attract the growing rural workforce. For this, analysing the barriers of entry into this sector employment and the different activities undertaken in each state or region becomes important.

2.5.2.2 Demographic Transition and Dividend

According to United Nations Population Fund (UNFPA), demographic dividend means, "the economic growth potential that can result from shifts in a population's age structure, mainly when the share of the working-age population (15 to 64) is larger than the non-working-age share of the population (14 and younger, and 65 and older)". India has the largest proportion of young people in the world. The working-age population (15–64 years) constitutes 64 per cent of the population. The country has a distinctive 20 to 25 years' window of opportunity which needs to be exploited. Considering the fact the country's IT industry employs just 0.4 per cent of the workforce— with the vast majority of Indians doing low

productivity jobs in areas such as transportation or construction— development of a labour-intensive manufacturing sector becomes vital for the country to take advantage of its rapidly growing population.

2.5.2.3 Urbanisation

India is urbanising at a much faster pace. As per World Urbanisation Prospect 2014, Revision report India is projected to add 404 million urban dwellers between 2014-2050. This will add additional pressure to the existing urban centres which are already in the grip of issues like house shortages, traffic congestion, air pollution, rising greenhouse gas emissions, poor public health, etc. resulting from tremendous demographic pressure, inadequate infrastructure and resources to cater, unplanned growth of the peri-urban sprawls characterise. Urbanisation in India is inevitable thus, the need for solving the various problems associated with it requires a combination of actions, starting with increased investment; strengthening the framework for governance, and most importantly capacity building for the people and the institutions engage in urban affairs. Along with this, the country needs to avoid excessive sprawl and address infrastructure bottlenecks, particularly in the transport, power and water sectors.

2.5.2.4 Poverty and Inequality

Poverty elimination has remained a major challenge right from independence and lies at the core of India's national development agenda to create a just and equitable society. Poverty has always been a matter of concern in the Indian economy. A significant part of the country and the population is deprived of access to basic health care, food, drinking water, sanitation as well as financial services, making the minimum standard of living out of their reach, largely due to long years of centralised development and inequitable distribution of income. Poverty is worsened by the relatively high level of income inequality. Hence, there has always remained the need of an attempt to eliminate poverty.

2.5.2.5 Environment and Climate Change

India is both a major greenhouse gas emitter and one of the most vulnerable countries in the world to projected climate change. The country is already experiencing changes in climate and the impacts of climate change, including water stress, heat waves and drought, severe storms and flooding, and associated negative consequences on health and livelihoods. With a 1.3 billion but growing population and dependence on agriculture, India probably will be severely impacted by continuing climate change. This calls for innovations, new technologies, and new approaches to economic development.

2.5.2.6 Infrastructure

India's ambition of sustaining its relatively high growth depends on one important factor: infrastructure. The country, however, is plagued with weak infrastructure incapable of meeting the needs of a growing economy and growing population. The corporate growth and investments can also be hampered if the government fails to close the infrastructure deficit, which some experts estimate costs 4-5 per cent of GDP due to inefficiencies. Also in order to fulfil Sustainable Development Goal number 9, India needs to develop quality, reliable, sustainable and resilient infrastructure, including regional and trans-border infrastructure to support